

Harbour View Café Ltd

Hospitality / Food & Beverage | Financial Year 2024

Health Score: 83/100 - Healthy

1. Key Financial Ratios

Gross Margin	60.0%
Net Margin	10.0%
Current Ratio	1.45x
Quick Ratio	1.1x
Debt to Equity	0.89x
ROE	50.53%
ROA	26.67%

2. NZ Industry Benchmark Comparison

Ratio	Business	NZ Average	Gap	Status
Gross Margin	60.0%	62.5%	-2.5%	Below average
Net Margin	10.0%	6.5%	+3.5%	Above average
Current Ratio	1.45x	1.2x	+0.25x	Above average
Quick Ratio	1.1x	0.9x	+0.2x	Above average
Debt to Equity	0.89x	1.4x	-0.51x	Better than average
ROE	50.53%	12.0%	+38.53%	Above average
ROA	26.67%	6.5%	+20.17%	Above average

Harbour View Café Ltd Performance Analysis

Strengths: Harbour View Café substantially outperforms its NZ hospitality peers in profitability and financial health. Its net margin sits 3.5 percentage points above industry average, demonstrating superior cost control despite competitive pressure in the café sector. The business maintains stronger liquidity positions (current ratio +0.25x, quick ratio +0.2x), providing better resilience against seasonal cash flow volatility common in NZ hospitality. Most impressively, ROE and ROA exceed peers by 38.53% and 20.17% respectively, indicating exceptional asset efficiency and shareholder returns-a standout achievement in a typically margin-constrained industry.

Weaknesses: The 2.5 percentage point gap below industry average in gross margin is the material concern. This suggests higher cost of goods sold relative to revenue-likely reflecting supply chain costs, labour rates, or menu pricing positioned below market. For a café competing in NZ's crowded market, this gap directly undermines margin quality. Immediate action should focus on menu engineering, supplier negotiations, or strategic price increases to align with peer performance and protect long-term sustainability.

3. Year-on-Year Trend Analysis

Ratio	2023	2024	Change	Direction
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Gross Margin	58.0%	60.0%	+2.0%	Improving
Net Margin	6.57%	10.0%	+3.43%	Improving
Current Ratio	1.16x	1.45x	+0.29x	Improving
Quick Ratio	0.84x	1.1x	+0.26x	Improving
Debt to Equity	1.29x	0.89x	-0.4x	Improving
ROE	39.43%	50.53%	+11.1%	Improving
ROA	17.25%	26.67%	+9.42%	Improving

Harbour View Café Ltd: Financial Commentary 2023-2024

Trajectory: Strong Improvement

Harbour View Café has demonstrated robust financial improvement across all metrics. Profitability has expanded meaningfully-net margin jumped 3.43 percentage points to 10.0%, while gross margin improved to 60.0%, indicating better cost control and pricing power. The balance sheet has strengthened considerably: debt-to-equity fell from 1.29x to 0.89x, suggesting strategic deleveraging. Liquidity metrics improved notably, with current and quick ratios both rising, reducing operational risk. Return metrics are particularly impressive-ROE surged to 50.53% and ROA to 26.67%-demonstrating significantly more efficient capital deployment.

Critical Watch: Sustainability & Market Position

Monitor whether margin gains are sustainable or driven by temporary cost reductions. The 11% ROE improvement is exceptional but warrants scrutiny-verify it reflects genuine operational efficiency versus reduced reinvestment. Confirm the debt reduction hasn't constrained growth capacity in a competitive hospitality market. Recommend stress-testing scenarios around labour cost

4. AI CFO Narrative

Harbour View Café Ltd - Financial Health Narrative

Overall Assessment

Harbour View Café is in strong financial health with an 83/100 health score reflecting solid operational performance. The 10% net margin is healthy for NZ hospitality, where typical café margins sit 5-12%, and the 60% gross margin indicates excellent cost control on food and beverage. The business is generating strong returns (ROE 50.53%, ROA 26.67%), well above SME benchmarks, and carries manageable debt at 0.89:1 leverage. With current rates around 5.25%, this debt level is serviceable. The cafe is profitable, efficient, and financially stable.

Key Strengths & Risks

Your greatest strength is operational leverage-you're converting sales into profit effectively, and your inventory management (Quick Ratio 1.1) is tight without being dangerously thin. Debt levels are reasonable. The main vulnerability is liquidity positioning: a Current Ratio of 1.45 is adequate but leaves limited buffer for seasonal downturns (common in NZ hospitality). You're also exposed to labour cost inflation (a significant challenge post-Fair Pay Act implementation) and rising interest rates if refinancing occurs. IRD compliance around GST and PAYE is critical in this cash-heavy sector.

Next 6-12 Month Focus

Prioritise strengthening working capital to 1.6-1.8x to absorb seasonal volatility and rate rises. Review labour scheduling to lock in efficiencies before wage pressure intensifies. Consider refinancing any debt maturing in 2025 now, while rates remain relatively stable. Invest in systems (POS, inventory tracking) to protect your margin discipline, and stress-test cash flow for a 10% revenue dip. Finally, ensure GST and tax filings are watertight-compliance risk is material for hospitality operators.

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